Pinnacle Education Group

Transaction services and accounting

Management Accounts September 2026

Monthly pack and year-to-date results against budget, three months to 30 September 2026

Prepared for the Board of Pinnacle Education Group Ltd and Quillwood Credit Partners

Prepared by Group Finance, Pinnacle Education Group Ltd

Version 1.0, issued 9 October 2026

Unaudited management information

Reference: PEG-MA-2026-09

Date: 9 October 2026

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Reporting entity	Pinnacle Education Group Ltd
ABN	15 734 984 518
Registered office	Level 14, 200 Queen Street, Melbourne VIC 3000
Reporting period	Month of September 2026 and year to date (1 July to 30 September 2026)
Prepared by	Priya Bancroft, Executive Director and Chief Financial Officer
Date of issue	9 October 2026
Status	Version 1.0, unaudited

Document details

1. Executive summary

Pinnacle Education Group Ltd (the Group) operates 11 independent K-12 schools, seven in Victoria and four in New South Wales. This pack reports results for the first quarter of FY27 against the Board-approved budget. All figures are in Australian dollars and are unaudited.

The Group has started the year slightly ahead of budget. Year-to-date revenue was A$82.3M against a budget of A$81.6M, a favourable variance of A$0.7M or 0.9%. EBITDA was A$12.3M against a budget of A$11.9M, a favourable variance of A$0.4M or 3.4%. The EBITDA margin was 14.9% against a budgeted 14.6%.

- Enrolments stand at 9,640 students against a combined capacity of 10,900, an occupancy rate of 88.4%. This is 50 students ahead of budget.
- Student retention is 93.5%, 0.5 percentage points ahead of budget.
- Employee costs, the largest cost line, are A$0.1M over budget, with staff numbers at 1,420 FTE against a budget of 1,415.
- Cash at 30 September 2026 was A$22.0M, A$0.8M above budget. Gross bank debt was A$140.0M and net debt A$118.0M.
- Capital expenditure on the committed A$36M campus works program was A$3.1M, A$0.4M behind budget on timing.

2. Income statement

2.1 Year-to-date result against budget

Parent-funded fees were A$0.6M ahead of budget, driven by the higher enrolment base and a lower level of fee remission than assumed. Commonwealth and state recurrent funding was in line with budget, and ancillary income was on budget. The revenue mix is consistent with the FY26 split: fees 68%, government funding 29% and ancillary income 3%.

A$M, year to date	Actual	Budget	Variance	Var %
Parent-funded fees	56.0	55.4	0.6	1.1%
Government recurrent funding	23.8	23.7	0.1	0.4%
Ancillary income	2.5	2.5	0.0	0.0%
Total revenue	82.3	81.6	0.7	0.9%
Employee expenses	(48.2)	(48.1)	(0.1)	(0.2%)
Property and occupancy	(7.4)	(7.4)	0.0	0.0%
Other operating expenses	(14.4)	(14.2)	(0.2)	(1.4%)
EBITDA	**12.3**	**11.9**	**0.4**	**3.4%**

Table 1: Income statement to EBITDA, three months to 30 September 2026

Employee expenses were 58.6% of revenue against a budgeted 58.9%. The small adverse dollar variance reflects four additional FTE, mainly in learning support, ahead of the enrolment growth assumed for the second half of the year. Other

operating expenses were A$0.2M over budget, mostly higher utilities and insurance costs, which Group Finance expects to partly reverse by December.

Net interest expense on the existing bank facility was A$2.5M for the quarter, in line with budget. On FY26 EBITDA of A$48M, this implies interest cover of 4.8 times.

2.2 Monthly EBITDA profile

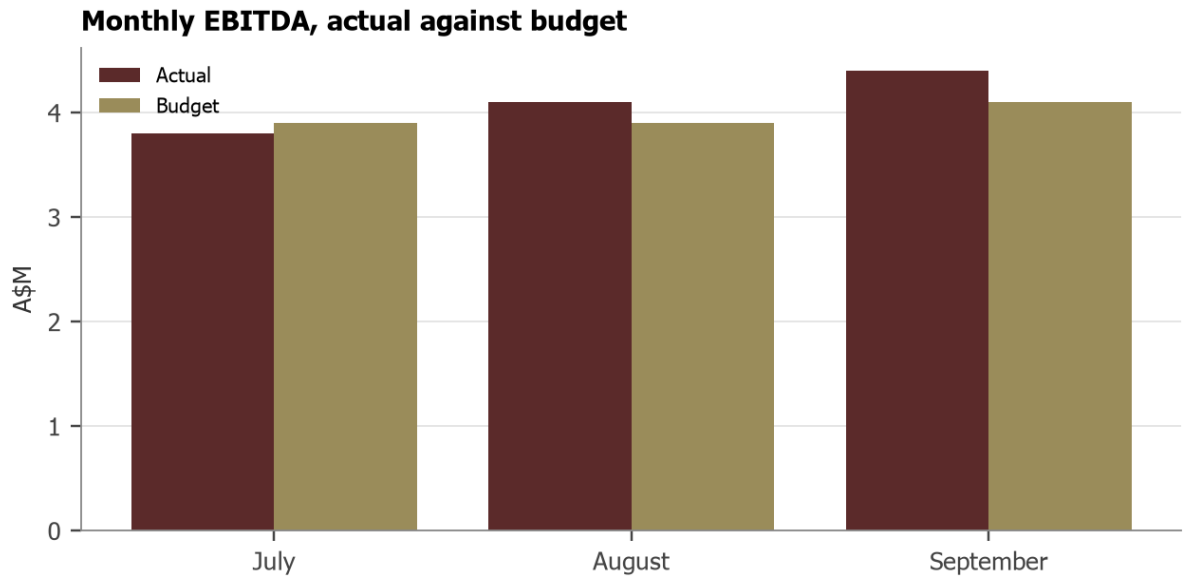


Figure 1: Monthly EBITDA, FY27 year to date

July was A$0.1M behind budget because of the timing of staff recruitment and start-of-year maintenance. August and September were ahead of budget by A$0.2M and A$0.3M respectively. September EBITDA of A$4.4M reflects the full term fee billing cycle and the seasonal pattern of the school year.

3. Enrolments and operating metrics

Enrolments are the primary driver of fee revenue and operating leverage. The Group enrolled 9,640 students for the 2026 school year, and the October census confirms this level. The table below sets out the key operating indicators.

Indicator	Actual	Budget	Variance
Students enrolled	9,640	9,590	50
Student capacity	10,900	10,900	0
Occupancy	88.4%	88.0%	0.4 pts
Student retention	93.5%	93.0%	0.5 pts
Staff (FTE)	1,420	1,415	5
EBITDA margin (YTD)	14.9%	14.6%	0.3 pts

Table 2: Operating indicators at 30 September 2026

Occupancy remains uneven across the portfolio. Some campuses run well above the Group average, while a minority operate below 85% of capacity and continue to be monitored closely. The Wyndham campus in Melbourne's western growth corridor continues to build enrolments steadily. Management has not identified any campus where enrolment is materially behind its own budget at this stage.

4. Cash flow, capital expenditure and balance sheet

4.1 Cash movement

A$M, year to date	Actual
Opening cash, 1 July 2026	19.5
EBITDA	12.3
Working capital inflow (fees received in advance)	1.6
Capital expenditure, committed program	(3.1)
Capital expenditure, maintenance	(1.3)
Interest paid	(2.5)
Lease payments	(1.0)
FY26 final dividend paid	(3.5)
Closing cash, 30 September 2026	**22.0**

Table 3: Summary cash movement, three months to 30 September 2026

Closing cash of A$22.0M compares with a budget of A$21.2M. The favourable variance arises from EBITDA outperformance and slower spending on the works program. The working capital inflow reflects Term 3 fees billed and collected in advance and is expected to unwind through Term 4.

4.2 Capital works program

The Group has a committed capital works program of A$36M. Spending since 1 July 2026 totals A$3.1M against a year-to-date budget of A$3.5M, leaving A$32.9M of the program to be spent. The shortfall reflects the timing of design approvals and procurement rather than any change in scope or cost. Group Finance is tracking costs against the cost plan reviewed by Brennan Carlisle Quantity Surveyors Pty Ltd, and no overrun has been identified to date. Maintenance capital expenditure of A$1.3M was in line with budget.

4.3 Debt and asset position

Measure	30 Sep 2026
Gross debt (A$M)	140.0
Cash (A$M)	22.0
Net debt (A$M)	118.0
Freehold property value (A$M)	410.0
Loan to value ratio	34.1%
Net debt to FY26 EBITDA	2.5x
Gross debt to FY26 EBITDA	2.9x
EBITDA to interest	4.8x

Table 4: Debt and credit metrics, based on FY26 EBITDA of A$48M

Nine campuses are held freehold and two are leased. The freehold property value of A$410M is taken from the independent valuation by Halvorsen Whitlam Valuers Pty Ltd dated 14 August 2026 and has not been updated in this pack. Leverage and coverage ratios are calculated on FY26 EBITDA of A$48M and will be recalculated on a rolling twelve-month basis once a full quarter of FY27 comparatives is available.

5. Refinance update

The Group has mandated Aldwych Corporate Advisory Pty Ltd to arrange the refinance of its existing A$140M bank debt. The proposed facility is a senior secured term loan of A$140M with a tenor of 60 months. Indicative pricing is 3M BBSW plus 3.25% per annum, with a 1.50% upfront fee, interest payable quarterly and 1.0% per annum scheduled amortisation, with the balance repayable at maturity. Security comprises first registered mortgages over the nine freehold campuses and a general security deed over the Group. The lender is Quillwood Credit Partners.

Milestones to date are the information memorandum (20 July 2026), the property valuation (14 August 2026), the quantity surveyor's report (21 August 2026) and the FY26 financial statements (4 September 2026). This pack forms part of the information provided ahead of the term sheet, which is expected on 23 October 2026. Refinance costs have not been recognised in the year-to-date result and will be accounted for on completion.

6. Risks and outlook

Management's full-year view remains in line with the approved budget, with modest upside from enrolments if current retention levels hold. The following matters are monitored monthly by the Board audit and risk committee.

- Government funding: about 29% of revenue depends on Commonwealth and state recurrent funding. Changes to funding agreements or indexation would affect revenue.
- Fee affordability and enrolment: cost-of-living pressure or demographic shifts could reduce enrolments or limit fee increases, particularly at campuses below 85% capacity.
- Labour costs: enterprise agreements and wage settlements are the largest cost line. Wage growth above fee growth would compress the EBITDA margin.
- Geographic concentration: seven of 11 schools, and the larger share of enrolments, are in Victoria.
- Capital works delivery: the A$36M program carries cost and timing risk, and enrolment growth at new facilities may not arrive on schedule.
- Regulatory, child safety and reputational risk: a serious incident at any campus could affect enrolment demand across the Group.
- Interest rates and refinancing: the proposed facility is floating rate with a bullet balance at maturity in 2031, so higher base rates would reduce interest cover.

7. Basis of preparation and sign-off

These management accounts are prepared on an accrual basis consistent with the accounting policies in the FY26 financial statements audited by Tarrant Meyer Chartered Accountants. The September 2026 pack has not been audited or reviewed by the auditor. Budget comparatives are the FY27 budget approved by the Board. Amounts are rounded to the nearest A$0.1M, so totals may not sum exactly. Pinnacle Education Group Ltd has no corporate or ownership connection with Pinnacle Early Learning, which is an unrelated early childhood operator.

Prepared by	Priya Bancroft, Executive Director and Chief Financial Officer
Reviewed by	David Hartnett, Managing Director and Chief Executive Officer
Presented to	Margaret Ashby, Independent Non-Executive Chair, for the Board
Date	9 October 2026

Sign-off